



(Photo or Name of Business being Valued)

Document:	Most Probable Selling Price
Client:	Ontario Business
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CONFIDENTIAL

Broker Opinion of the Most Probable Selling Price

Last Revised: August 19, 2025

August 19, 2025

Owner Names
123 King Street,
Toronto, ON
L9T 4J2

Dear Owners,

Equitas M&A is pleased to provide you with our “Brokers Opinion” of the “Most Probable Selling Price” (MPSP) for **Ontario Business**

It should be understood that this document presents our professional analysis based on industry standards as set out by the International Business Brokers Association along with supporting research of what we believe to be an appropriate “value” for your business. This value does not necessarily represent what the actual “Selling Price” of the business will be. There are many factors that influence the actual selling price of a business. They include, but are not limited to the market itself, the economy and most importantly the relative motivation of a willing seller and a willing buyer.

Determination of the MPSP is not a science. It is based upon many factors including the professional business expertise of the Broker and evaluation team, combined with the use of industry tools and methodologies that typically combine to provide a reasonable level of accuracy.

We have not appraised the individual assets of the business; we have relied on the completeness and accuracy of the information provided to us by you, to arrive at this MPSP. The data in this report will help you determine a reasonable asking price for the sale of **Ontario Business** based on Fair Market Value and Current Economic Conditions.

Although this assessment of the MPSP for your business could appear to be tied to the engagement for the purpose of brokering the Business opportunity, no consideration has been given either by Equitas M&A or the Broker in creating an MPSP that is favorable for engaging the sale of the Business. The Most Probable Selling Price derived from this analysis has been undertaken as objectively as possible without any consideration or expectation of outcome.

We thank you for entrusting us with this opportunity and would welcome any questions or comments you might have on this report.

Respectfully submitted by,

James Stan

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I. BUSINESS SNAPSHOT

PURPOSE AND SCOPE

The purpose of this presentation is to provide a “Broker’s Opinion” of the “Most Probable Selling Price” of **Ontario Business**. It is not intended to be a formal “valuation” of the business, enterprise or the assets thereof. This presentation is our considered and professional opinion of “roughly” what the business and its assets might be worth if sold as a going concern.

The Most Probable Selling Price (MPSP) is defined by the International Business Brokers Association as “The price for the assets or shares intended for sale which represents the total consideration most likely to be established between a buyer and a seller considering compulsion on the part of either the buyer or the seller, and potential financial, strategic or non-financial benefits to seller and probable buyer”. This report is intended strictly for use by the owner of **Ontario Business**. Use of this report by anyone other than the intended recipient, for its intended purposes is unauthorized.

NOTICE

This Information cannot be reproduced, duplicated or revealed, in whole or in part, or used in any other manner without the prior written permission of Equitas M&A. This information has not been verified, reviewed or audited in any way.

Equitas M&A, operating under the broker of record Sunbelt Business Brokers Premier does not warrant any information and is not responsible for any results whatsoever as a result of or, as a consequence of using the information provided in this report. It is understood that market conditions change and vary and hence this cannot be warranted in any way.

DISCLAIMER

The client has supplied the information contained in this Analysis. Equitas M&A has not audited or otherwise confirmed this information and makes no representations, expressed or implied, as to its accuracy or completeness or the conclusions to be drawn and shall in no way be responsible for the content, accuracy, and truthfulness of such information.

The information presented in this report is the result of the Client management representations and a search utilizing sources and materials considered to be reliable and to contain information deemed to be relevant to the company.

The Pro Forma Income Statements presuppose infusion of any necessary operating capital, adequacy of personnel, expertise at all levels of operations and a firm dedication to attain growth. Such pro forma financial information and projections cannot anticipate economic, socioeconomic, and political factors, which might impact the expected growth. Accordingly, Equitas M&A makes no representations, expressed or implied, as to the validity of the pro forma projections.

Company Overview

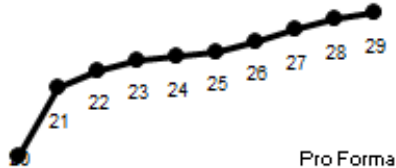
Legal Name	Ontario Business		
Description	This business is a full-service marketing communications provider, offering professional graphic design, high-quality print, direct mail, signage, promotional products and web solutions to help businesses and nonprofits effectively build their brand and reach their audiences.		
SIC Code	2759 – Commercial Printing, Not Elsewhere Classified		
NAICS Code	323114 – Quick Printing		
Type of Business	Ontario Corporation	Location	Toronto, Ontario
Size of Business	SME	Incorporated	2013
Current Owners	Owner names		

Historical and Projected Financial Performance

Financial Year Ending (FYE) **September 30**

Total Revenues

Historical

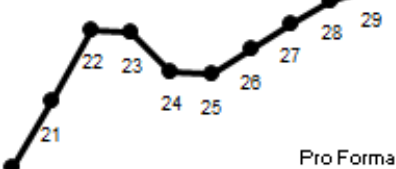


Pro Forma

FYE ▲	Normalized	Proj. ▼	Normalized
2024	\$ 684,445	2025	\$ 725,512
2023	\$ 667,339	2026	\$ 798,063
2022	\$ 595,787	2027	\$ 877,869
2021	\$ 472,493	2028	\$ 948,099
		2029	\$ 995,504

Seller's Discretionary Earnings

Historical



Pro Forma

Historical		Projected	
FYE ▲	Normalized	Proj. ▼	Normalized
2024	\$ 91,513	2025	\$ 88,788
2023	\$ 127,549	2026	\$ 111,399
2022	\$ 131,035	2027	\$ 136,683
2021	\$ 62,287	2028	\$ 158,024
		2029	\$ 170,212

Potential Sale Information

Type of Sale Considered

Share Sale

Assets Included in the Sale

Working Capital	\$	16,000
Furniture, Fixtures, and Equipment	\$	148,935
Goodwill	\$	115,065

MPSP Inclusive of Actual Net Working Capital Transferred	\$	280,000
Typical Assets Included: Fixed Assets, Goodwill, Actual WC Transferred		

Total Assets (Liabilities) Retained

Retained Assets

Cash	\$	26,900
Most Probable Selling Price	\$	280,000
Accounts Receivable	\$	68,700

Total Retained Assets	\$	375,600
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Retained Liabilities

Accounts Payable	\$	(8,200)
Bank Indebtedness	\$	(19,900)
Income taxes and HST payable	\$	1,100
Payroll Liabilities	\$	(24,900)
Shareholder Loan	\$	(1,600)
Closing Costs	\$	(33,600)

Total Retained Liabilities	\$	(87,100)
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Proceeds from Retained Assets (Liabilities)	288,500
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II. METHODOLOGIES

Most Probable Selling Price - Overview

Developing The Most Probable Selling Price for your business is a very complex and detailed process that involves using multiple comparative methods of evaluation and then employing a weighted average process to identify the most accurate and appropriate figure possible.

Our proprietary methodologies employ multiple complex calculations and algorithms based on contemporary practices developed by the International Business Brokers Association. When reference data and comparable business types are considered, we use the very best databases and most up-to-date industry information available from multiple sources to select the most appropriate benchmarks.

The following is a synopsis of our process. There are literally hundreds of calculations involved in each step of this process which we accomplish with extraordinary accuracy and precision through proprietary software tools and processes.

Pricing, Pro-forma and Projection Data

The information used in all financial calculations for this evaluation has been provided by your company's accountants. The pro-forma projections employed are based on our opinion of your company's realistic potential for growth, taking into account your industry type and the currently foreseeable market conditions.

Factors taken into account in the various methodologies employed in this evaluation include: what your company earns, what your company owns, and what its discretionary cash flow can support. The following figures are used in our projection.

- 5 Year forward view

Valuation Variables

As a going concern, the day-to-day operations of the company create fluctuations in all of the financial statistics employed in this valuation process. As such, specific details of value, especially inventory, will fluctuate between valuation and time of sale.

To the extent inventory value will be increased (if substantial), the Most Probable selling Price could be increased, or, to the extent inventory value will be decreased (if substantial), the Most Probable Selling Price could be decreased.

It is not anticipated that during the time it takes to sell your company that the business fundamentals upon which this projection is based will change materially. It is none-the-less important to note that despite the very best attempt to identify the true value of the business, the ultimate price paid for sale of the company will ultimately be market driven and therefore determined only by the compulsion and the willingness of both the buyer and the seller to complete the sales transaction.

Valuation Approaches Employed

The following methodologies have been employed in the analysis of our Most Probable Selling Price.

Market and Asset Approach

This methodology is based on the principle of substitution. It postulates that a buyer will pay no more than the price required to purchase an equally desirable substitute. In this methodology, we have assessed comparable opportunities in similar industries, recognizing variables such as markets, trends, niches etc. Multiples of earnings are calculated and compared based on industry-specific standards and adjusted for relevance; taking into account rules of thumb for industry, market, historical trends and cost to create.

Income Approach

The Income Approach is based on the principle of economic value reflecting anticipated future benefits. This methodology has several components including market capitalization analysis which takes into account financial ratios and statistics including seller's discretionary earnings, (SDE), discounted cash flow (DCF), and future earnings.

The company's most recent year's cash flow is usually the best indicator of the current business performance. However, in order to create the most accurate and realistic projection we created a weighted figure for the SDE and EBITDA based on the past 3 years. We also reviewed industry specific formulas and have taken industry performance metrics into account in these calculations.

Other Methods

We have also employed the ROI and DCF methodologies for comparison purposes.

The theory of DCF requires that the DCF method be applied to the actual investor cash flow. In practice, traditional methods substitute earnings or free cash flow as a proxy for actual cash flow. And, even then, such earnings or free cash flow are determined using seller's capital structure or an assumed capital structure for the buyer, rather than using buyer's actual capital structure.

Determination of actual investor cash flow requires knowing the buyer's post-acquisition capital structure, but buyer's post-acquisition capital structure cannot be known until one knows the value; and one does not know the value until one knows the actual investor cash flow. This is a circular problem that can only be solved through iterations as done by sophisticated software using Iterative DCF methods (Iterative Discounted Cash Flow).

In addition, such methodologies simultaneously satisfy the "willing seller" objective of maximum value and "willing buyer" objective of achieving the targeted ROI.

The program calculates investor's actual cash flow based on actual post-acquisition capital structure, not based on assumed debt/equity structure or based on seller's capital structure. Cash flow is net income plus non-cash expenses minus principal amount of debt service, minus working capital change (net of new borrowing), and minus capital expenditure (net of new borrowing).

Net Income is calculated after deducting interest on actual debt, goodwill, amortization, and personal goodwill amortization, depreciation on price allocated to the fixed assets and based on chosen depreciation method, non-compete amortization, interest on new borrowings and depreciation on new capital assets purchase. Cash flow calculations were adjusted for an asset sale in this analysis.

Normalization of Financial Statements (Recasting)

Because privately owned companies tend to keep reported profits and thus taxes as low as possible, financial recasting is an important element to understanding the earning capacity of a business.

Recasting allows meaningful comparisons with other investment opportunities. Financial recasting eliminates such items as excessive and discretionary expenses and nonrecurring revenues and expenses from the historical financial presentation. Also, debt and interest expense are eliminated since they reflect the financing decision of the current owner and may not represent financing preferences of a new owner.

III. STATED HISTORICAL FINANCIAL EXHIBITS

Stated Historical Balance Sheets

The following historical Balance Sheets for FYE 2021 – FYE 2024 have been prepared by the Company's Accountant as a 'Notice to Reader', providing a snapshot of the company's financial condition at that specific point in time.

	FYE 2021	FYE 2022	FYE 2023	FYE 2024
Current Assets				
Cash	\$ 29,511	\$ 68,016	\$ 68,318	\$ 2,892
Accounts Receivable	\$ 41,897	\$ 77,890	\$ 78,547	\$ 83,545
Inventory	\$ 7,500	\$ 7,500	\$ 16,194	\$ 16,133
Prepaid expenses	\$ 2,318	\$ 2,318	\$ 2,318	\$ -
Income taxes receivable	\$ -	\$ -	\$ -	\$ 2,954
Total Current Assets	\$ 81,226	\$ 155,724	\$ 165,377	\$ 105,524
FF&E and Capital Assets				
Computer equipment	\$ 1,926	\$ 1,059	\$ 2,496	\$ 1,373
Computer software	\$ -	\$ 1,822	\$ 911	\$ 456
Furniture and fixtures	\$ 229	\$ 183	\$ 146	\$ 117
Printing equipment	\$ 1,468	\$ 1,591	\$ 9,205	\$ 12,478
Telephone equipment	\$ 546	\$ 382	\$ 267	\$ 187
Leasehold Improvements	\$ -	\$ -	\$ -	\$ 11,008
Total FF&E and Capital Assets	\$ 4,169	\$ 5,037	\$ 13,025	\$ 25,619
Other Assets				
	\$ -	\$ -	\$ -	\$ -
Total Other Assets	\$ -	\$ -	\$ -	\$ -
Total Assets	\$ 85,395	\$ 160,761	\$ 178,402	\$ 131,143
Current Liabilities				
Accounts Payable	\$ 28,949	\$ 70,270	\$ 52,826	\$ 58,312
Bank Indebtedness	\$ 60,000	\$ 60,000	\$ 60,000	\$ -
Due to Shareholder(s)	\$ 22,552	\$ 2,717	\$ -	\$ 222
Current Portion of Long Term Debt	\$ -	\$ -	\$ 3,184	\$ -
Income taxes and HST payable	\$ -	\$ -	\$ -	\$ -
Payroll Liabilities	\$ -	\$ -	\$ -	\$ -
Total Current Liabilities	\$ 111,501	\$ 132,987	\$ 116,010	\$ 58,534
Long Term Liabilities				
Shareholder Loan	\$ -	\$ -	\$ -	\$ -
Total Long Term Liabilities	\$ -	\$ -	\$ -	\$ -
Total Liabilities	\$ 111,501	\$ 132,987	\$ 116,010	\$ 58,534
Shareholder Equity				
Retained Earnings / Deficit	\$ (26,126)	\$ 27,754	\$ 62,372	\$ 72,589
Common Shares	\$ 20	\$ 20	\$ 20	\$ 20
Total Shareholder Equity	\$ (26,106)	\$ 27,774	\$ 62,392	\$ 72,609
Total Liabilities and Shareholder Equity	\$ 85,395	\$ 160,761	\$ 178,402	\$ 131,143
Equity	\$ (26,106)	\$ 27,774	\$ 62,392	\$ 72,609

Stated Historical Income Statements

The following historical Income Statements for FYE 2021 – FYE 2024 have been prepared by the Company's Accountant as a 'Notice to Reader', indicating the profitability of the company as stated for the specified fiscal periods.

From Accountant Prepared for FYE September 30								
	FYE 2021	% / Rev	FYE 2022	% / Rev	FYE 2023	% / Rev	FYE 2024	% / Rev
Net Sales	\$ 472,493	100%	\$ 595,787	100%	\$ 667,339	100%	\$ 684,445	100%
Cost of Sales	\$ 253,508	54%	\$ 294,237	49%	\$ 317,257	48%	\$ 311,994	46%
Gross Profit	\$ 218,985	46%	\$ 301,550	51%	\$ 350,082	52%	\$ 372,451	54%
Operating Expenses								
Amortization	\$ 2,030	0%	\$ 2,223	0%	\$ 4,000	1%	\$ 9,183	1%
Advertising and promotion	\$ 5,188	1%	\$ 7,262	1%	\$ 9,672	1%	\$ 13,374	2%
Automotive	\$ 6,666	1%	\$ 12,779	2%	\$ 9,659	1%	\$ 14,927	2%
Bank charges and interest	\$ 12,553	3%	\$ 4,721	1%	\$ 781	0%	\$ 3,853	1%
Computer related expenses	\$ 2,721	1%	\$ 3,899	1%	\$ 3,091	0%	\$ 2,651	0%
Dues, fees and licenses	\$ -	0%	\$ 225	0%	\$ 230	0%	\$ -	0%
Insurance	\$ 1,759	0%	\$ 1,710	0%	\$ 2,298	0%	\$ 4,897	1%
Office	\$ 1,525	0%	\$ 2,073	0%	\$ 3,428	1%	\$ 1,900	0%
Professional fees	\$ 5,643	1%	\$ 6,470	1%	\$ 6,355	1%	\$ 6,657	1%
Rent and utilities	\$ 23,651	5%	\$ 25,340	4%	\$ 25,049	4%	\$ 35,086	5%
Repairs and maintenance	\$ 5,033	1%	\$ 4,638	1%	\$ 7,968	1%	\$ 7,073	1%
Royalties	\$ 28,253	6%	\$ 32,169	5%	\$ 37,439	6%	\$ 39,206	6%
Salaries and benefits	\$ 112,960	24%	\$ 140,476	24%	\$ 191,169	29%	\$ 230,775	34%
Telephone	\$ 6,169	1%	\$ 3,495	1%	\$ 4,072	1%	\$ 4,095	1%
Travel	\$ -	0%	\$ 190	0%	\$ 72	0%	\$ 6,771	1%
Total Operating Expenses	\$ 214,151	45%	\$ 247,670	42%	\$ 305,283	46%	\$ 380,448	56%
Operating Income	\$ 4,834	1%	\$ 53,880	9%	\$ 44,799	7%	\$ (7,997)	-1%
Other Income								
Gains (Losses) from Assets Sold	\$ 13,496	3%	\$ -	0%	\$ -	0%	\$ -	0%
CEBA Forgiven & Wage subsidy	\$ -	0%	\$ -	0%	\$ -	0%	\$ 20,000	3%
Miscellaneous income	\$ -	0%	\$ -	0%	\$ -	0%	\$ -	0%
Total Other Income	\$ 13,496	3%	\$ -	0%	\$ -	0%	\$ 20,000	3%
Total Other Expenses	\$ -	0%	\$ -	0%	\$ -	0%	\$ -	0%
Pre-Tax Income	\$ 18,330	4%	\$ 53,880	9%	\$ 44,799	7%	\$ 12,003	2%
Income Taxes	\$ -	0%	\$ -	0%	\$ 10,181	2%	\$ 1,786	0%
Net Income	\$ 18,330	4%	\$ 53,880	9%	\$ 34,618	5%	\$ 10,217	1%

IV. RECAST AND NORMALIZATION OF FINANCIAL STATEMENTS

Recast Balance Sheet

Assumed and preferred buyer is an individual or Main Street buyer. The following accountant-prepared Balance Sheet for FYE **2024** has been recast to reflect that which is transferred to the buyer and/or retained by the seller.

	As at: May 31, 2025		
	Reported	Adjustment / Retained	Recast / Transferred
Current Assets			
Cash	\$ 26,921	\$ 26,921	\$ - (1)
Accounts Receivable	\$ 68,686	\$ 68,686	\$ - (1)
Inventory	\$ 16,133	\$ -	\$ 16,133 (2)
Total Current Assets	\$ 111,740	\$ 95,607	\$ 16,133
FF&E and Capital Assets			
Computer equipment	\$ 1,373	\$ -	\$ 1,373 (2)
Computer software	\$ 456	\$ -	\$ 456 (2)
Furniture and fixtures	\$ 117	\$ -	\$ 117 (2)
Printing equipment	\$ 26,478	\$ -	\$ 26,478 (2)
Telephone equipment	\$ 187	\$ -	\$ 187 (2)
Leasehold Improvements	\$ 11,618	\$ -	\$ 11,618 (2)
Total FF&E and Capital Assets	\$ 40,230	\$ -	\$ 40,230
Total Other Assets	\$ -	\$ -	\$ -
Total Assets	\$ 151,969	\$ 95,607	\$ 56,363
Current Liabilities			
Accounts Payable	\$ 8,219	\$ 8,219	\$ - (1)
Bank Indebtedness	\$ 19,919	\$ 19,919	\$ - (1)
Income taxes and HST payable	\$ (1,150)	\$ (1,150)	\$ - (1)
Payroll Liabilities	\$ 24,862	\$ 24,862	\$ - (1)
Total Current Liabilities	\$ 51,850	\$ 51,850	\$ -
Long Term Liabilities			
Shareholder Loan	\$ 1,638	\$ 1,638	\$ - (1)
Total Long Term Liabilities	\$ 1,638	\$ 1,638	\$ -
Total Liabilities	\$ 53,488	\$ 53,488	\$ -
Shareholder Equity			
Retained Earnings / Deficit	\$ 98,461	\$ 98,461	\$ - (1)
Common Shares	\$ 20	\$ -	\$ 20 (2)
Buyer Equity	\$ -	\$ (56,343)	\$ 56,343 (3)
Total Shareholder Equity	\$ 98,481	\$ 42,119	\$ 56,363
Total Liabilities and Shareholder Equity	\$ 151,969	\$ 95,607	\$ 56,363

Notes

- (1) - Retained by Seller
(2) - Transferred to Buyer
(3) - Balancing item

Schedule of Income Statement Adjustments

Because privately owned companies tend to keep reported profits and thus taxes as low as possible, financial recasting is an important element to understanding the earning capacity of a business. Recasting allows meaningful comparisons with other investment opportunities. Financial recasting eliminates such items as excessive and discretionary expenses and nonrecurring revenues and expenses from the historical financial presentation (Non Operational). Also, debt and interest expense are eliminated since they reflect the financing decisions of the current owner and may not represent financing preferences of a new owner. Similarly, depreciation and amortization are non-cash expenses and therefore recast.

	FYE 2021	FYE 2022	FYE 2023	FYE 2024		FYE 2025 (8 Mo YTD)
Net Sales	\$ -	\$ -	\$ -	\$ -	Net Sales	\$ -
Cost of Sales	\$ -	\$ -	\$ -	\$ -	Cost of Sales	\$ -
Adjustment to Inventory	\$ -	\$ -	\$ -	\$ -	Adjustment to Inventory	\$ -
Income Taxes	\$ -	\$ -	\$ 10,181 (5)	\$ 1,786 (5)	Income Taxes	\$ (2,959) (5)
Operating Expenses					Operating Expenses	
Amortization	\$ 2,030 (1)	\$ 2,223 (1)	\$ 4,000 (1)	\$ 9,183 (1)	Amortization	\$ -
Depreciation	\$ -	\$ -	\$ -	\$ -	Depreciation	\$ -
Interest Expense	\$ -	\$ -	\$ -	\$ -	Interest Expense	\$ 528 (6)
Owner Salary/Compensation	\$ (45,000) (2)	\$ (50,000) (2)	\$ (55,000) (2)	\$ (60,000) (2)	Owner Salary/Compensation	\$ (40,000) (2)
Salaries and benefits	\$ 55,423 (3)	\$ 74,932 (3)	\$ 78,750 (3)	\$ 83,827 (3)	Salaries and benefits	\$ 62,192 (3)
Telephone	\$ -	\$ -	\$ -	\$ -	Telephone	\$ -
Travel	\$ -	\$ -	\$ -	\$ -	Travel	\$ -
Miscellaneous	\$ -	\$ -	\$ -	\$ -	Miscellaneous	\$ -
	\$ -	\$ -	\$ -	\$ -		\$ -
Other Income					Other Income	
Gains (Losses) from Assets Sold	\$ 13,496 (4)	\$ -	\$ -	\$ -	Gains (Losses) from Assets Sold	\$ -
CEBA Forgiven & Wage subsidy	\$ -	\$ -	\$ -	\$ 20,000 (4)	CEBA Forgiven & Wage subsidy	\$ -
Miscellaneous income	\$ -	\$ -	\$ -	\$ -	Miscellaneous income	\$ 1,391 (4)

Notes

- (1) - Non Cash Item
- (2) - Added FMV Owner Salary
- (3) - Removed Owner Salary
- (4) - Non-Recurring
- (5) - Adjusted to Pre-Tax
- (6) - Unrelated to New Owner - Specific Mgmt Style

V. FORWARD-LOOKING PROJECTIONS

Normalized Historical Income Statements, EBITDA & SDE

The following normalized historical income statements are Company's Accountant adjusted for financial recasting and intend to reflect the verifiable true earning capacity of the company for the specified fiscal periods.

	FYE 2021	% / Rev	FYE 2022	% / Rev	FYE 2023	% / Rev	FYE 2024	% / Rev		FYE 2025 (8 Mo YTD)	% / Rev
Net Sales	\$ 472,493	100.0%	\$ 595,787	100.0%	\$ 667,339	100.0%	\$ 684,445	100.0%	Net Sales	\$ 527,731	100.0%
Cost of Sales	\$ 253,508	53.7%	\$ 294,237	49.4%	\$ 317,257	47.5%	\$ 311,994	45.6%	Cost of Sales	\$ 199,029	37.7%
Gross Profit	\$ 218,985	46.3%	\$ 301,550	50.6%	\$ 350,082	52.5%	\$ 372,451	54.4%	Gross Profit	\$ 328,703	62.3%
Operating Expenses									Operating Expenses		
Amortization	\$ 2,030	0.4%	\$ 2,223	0.4%	\$ 4,000	0.6%	\$ 9,183	1.3%	Amortization	\$ -	0.0%
Interest Expense	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	Interest Expense	\$ 528	0.1%
Owner Salary/Compensation	\$ 45,000	9.5%	\$ 50,000	8.4%	\$ 55,000	8.2%	\$ 60,000	8.8%	Owner Salary/Compensation	\$ 40,000	7.6%
Advertising and promotion	\$ 5,188	1.1%	\$ 7,262	1.2%	\$ 9,672	1.4%	\$ 13,374	2.0%	Advertising and promotion	\$ 6,035	1.1%
Automotive	\$ 6,666	1.4%	\$ 12,779	2.1%	\$ 9,659	1.4%	\$ 14,927	2.2%	Automotive	\$ 8,476	1.6%
Bank charges and interest	\$ 12,553	2.7%	\$ 4,721	0.8%	\$ 781	0.1%	\$ 3,853	0.6%	Bank charges and interest	\$ 6,552	1.2%
Computer related expenses	\$ 2,721	0.6%	\$ 3,899	0.7%	\$ 3,091	0.5%	\$ 2,651	0.4%	Computer related expenses	\$ -	0.0%
Dues, fees and licenses	\$ -	0.0%	\$ 225	0.0%	\$ 230	0.0%	\$ -	0.0%	Dues, fees and licenses	\$ -	0.0%
Insurance	\$ 1,759	0.4%	\$ 1,710	0.3%	\$ 2,298	0.3%	\$ 4,897	0.7%	Insurance	\$ 4,671	0.9%
Office	\$ 1,525	0.3%	\$ 2,073	0.3%	\$ 3,428	0.5%	\$ 1,900	0.3%	Office	\$ 1,689	0.3%
Professional fees	\$ 5,643	1.2%	\$ 6,470	1.1%	\$ 6,355	1.0%	\$ 6,657	1.0%	Professional fees	\$ 6,753	1.3%
Rent and utilities	\$ 23,651	5.0%	\$ 25,340	4.3%	\$ 25,049	3.8%	\$ 28,586	4.2%	Rent and utilities	\$ 26,355	5.0%
Repairs and maintenance	\$ 5,033	1.1%	\$ 4,638	0.8%	\$ 7,968	1.2%	\$ 7,073	1.0%	Repairs and maintenance	\$ 5,422	1.0%
Royalties	\$ 28,253	6.0%	\$ 32,169	5.4%	\$ 37,439	5.6%	\$ 39,206	5.7%	Royalties	\$ 25,488	4.8%
Salaries and benefits	\$ 57,537	12.2%	\$ 65,544	11.0%	\$ 112,419	16.8%	\$ 146,948	21.5%	Salaries and benefits	\$ 93,365	17.7%
Telephone	\$ 6,169	1.3%	\$ 3,495	0.6%	\$ 4,072	0.6%	\$ 4,095	0.6%	Telephone	\$ 5,231	1.0%
Travel	\$ -	0.0%	\$ 190	0.0%	\$ 72	0.0%	\$ 6,771	1.0%	Travel	\$ -	0.0%
Miscellaneous	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	Miscellaneous	\$ 2,129	0.4%
Equipment rental	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	Equipment rental	\$ 22,562	4.3%
Shipping and postage	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	Shipping and postage	\$ 29,732	5.6%
Total Operating Expenses	\$ 203,728	43.1%	\$ 222,738	37.4%	\$ 281,533	42.2%	\$ 350,121	51.2%	Total Operating Expenses	\$ 284,987	54.0%
Operating Income	\$ 15,257	3.2%	\$ 78,812	13.2%	\$ 68,549	10.3%	\$ 22,330	3.3%	Operating Income	\$ 43,716	8.3%
Other Income									Other Income		
Total Other Income	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	Total Other Income	\$ -	0.0%
Total Other Expenses	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	Total Other Expenses	\$ -	0.0%
Pre-Tax Income	\$ 15,257	3.2%	\$ 78,812	13.2%	\$ 68,549	10.3%	\$ 22,330	3.3%	Pre-Tax Income	\$ 43,716	8.3%
Interest Expense	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	Interest Expense	\$ 528	0.1%
EBIT	\$ 15,257	3.2%	\$ 78,812	13.2%	\$ 68,549	10.3%	\$ 22,330	3.3%	EBIT	\$ 44,244	8.4%
Amortization	\$ 2,030	0.4%	\$ 2,223	0.4%	\$ 4,000	0.6%	\$ 9,183	1.3%	Amortization	\$ -	0.0%
EBITDA	\$ 17,287	3.7%	\$ 81,035	13.6%	\$ 72,549	10.9%	\$ 31,513	4.6%	EBITDA	\$ 44,244	8.4%
Owner Salary/Compensation	\$ 45,000	9.5%	\$ 50,000	8.4%	\$ 55,000	8.2%	\$ 60,000	8.8%	Owner's Salary, Net of FMV	\$ 40,000	7.6%
SDE	\$ 62,287	13.2%	\$ 131,035	22.0%	\$ 127,549	19.1%	\$ 91,513	13.4%	SDE	\$ 84,244	16.0%

5-Year Projected Income Statements, EBITDA & SDE

Per the information provided by you, the proforma EBITDA & SDE are projected based on normalized historical EBITDA & SDE assuming:

- Net sales have been projected to have a steady growth of 6% in 2025, 10% in 2026, 10% in 2027, 8% in 2028, and 5% growth onwards. Cost of sales is constant at 47.5% of revenue which is an average of the last 3 years. Owner Salary, Rent & utilities, Automotive, and Salaries and benefits are projected to have a steady growth of 3%.
- All other operating expenses are projected at a percentage of revenue similar to 2024.

	Projected 2025	% / Rev	Projected 2026	% / Rev	Projected 2027	% / Rev	Projected 2028	% / Rev	Projected 2029	% / Rev
Net Sales	\$ 725,512	100.0%	\$ 798,063	100.0%	\$ 877,869	100.0%	\$ 948,099	100.0%	\$ 995,504	100.0%
Cost of Sales	\$ 344,643	47.5%	\$ 379,107	47.5%	\$ 417,018	47.5%	\$ 450,380	47.5%	\$ 472,899	47.5%
Gross Profit	\$ 380,869	52.5%	\$ 418,955	52.5%	\$ 460,851	52.5%	\$ 497,719	52.5%	\$ 522,605	52.5%
Operating Expenses										
Amortization	\$ 9,183	1.3%	\$ 9,183	1.2%	\$ 9,183	1.0%	\$ 9,183	1.0%	\$ 9,183	0.9%
Owner Salary/Compensation	\$ 61,800	8.5%	\$ 63,654	8.0%	\$ 65,564	7.5%	\$ 67,531	7.1%	\$ 69,556	7.0%
Advertising and promotion	\$ 14,176	2.0%	\$ 15,594	2.0%	\$ 17,153	2.0%	\$ 18,526	2.0%	\$ 19,452	2.0%
Automotive	\$ 15,375	2.1%	\$ 15,836	2.0%	\$ 16,311	1.9%	\$ 16,800	1.8%	\$ 17,304	1.7%
Bank charges and interest	\$ 4,084	0.6%	\$ 4,493	0.6%	\$ 4,942	0.6%	\$ 5,337	0.6%	\$ 5,604	0.6%
Computer related expenses	\$ 2,810	0.4%	\$ 3,091	0.4%	\$ 3,400	0.4%	\$ 3,672	0.4%	\$ 3,856	0.4%
Insurance	\$ 5,191	0.7%	\$ 5,710	0.7%	\$ 6,281	0.7%	\$ 6,783	0.7%	\$ 7,123	0.7%
Office	\$ 2,014	0.3%	\$ 2,215	0.3%	\$ 2,437	0.3%	\$ 2,632	0.3%	\$ 2,763	0.3%
Professional fees	\$ 7,056	1.0%	\$ 7,762	1.0%	\$ 8,538	1.0%	\$ 9,221	1.0%	\$ 9,682	1.0%
Rent and utilities	\$ 29,444	4.1%	\$ 30,327	3.8%	\$ 31,237	3.6%	\$ 32,174	3.4%	\$ 33,139	3.3%
Repairs and maintenance	\$ 7,497	1.0%	\$ 8,247	1.0%	\$ 9,072	1.0%	\$ 9,798	1.0%	\$ 10,287	1.0%
Royalties	\$ 41,558	5.7%	\$ 45,714	5.7%	\$ 50,286	5.7%	\$ 54,308	5.7%	\$ 57,024	5.7%
Salaries and benefits	\$ 151,357	20.9%	\$ 155,897	19.5%	\$ 160,574	18.3%	\$ 165,391	17.4%	\$ 170,353	17.1%
Telephone	\$ 4,341	0.6%	\$ 4,775	0.6%	\$ 5,252	0.6%	\$ 5,672	0.6%	\$ 5,956	0.6%
Travel	\$ 7,177	1.0%	\$ 7,895	1.0%	\$ 8,684	1.0%	\$ 9,379	1.0%	\$ 9,848	1.0%
Total Operating Expenses	\$ 363,064	50.0%	\$ 380,393	47.7%	\$ 398,914	45.4%	\$ 416,409	43.9%	\$ 431,132	43.3%
Operating Income	\$ 17,805	2.5%	\$ 38,562	4.8%	\$ 61,937	7.1%	\$ 81,310	8.6%	\$ 91,473	9.2%
Total Other Income	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
Total Other Expenses	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
Pre-Tax Income	\$ 17,805	2.5%	\$ 38,562	4.8%	\$ 61,937	7.1%	\$ 81,310	8.6%	\$ 91,473	9.2%
Interest Expense	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
EBIT	\$ 17,805	2.5%	\$ 38,562	4.8%	\$ 61,937	7.1%	\$ 81,310	8.6%	\$ 91,473	9.2%
Amortization	\$ 9,183	1.3%	\$ 9,183	1.2%	\$ 9,183	1.0%	\$ 9,183	1.0%	\$ 9,183	0.9%
EBITDA	\$ 26,988	3.7%	\$ 47,745	6.0%	\$ 71,120	8.1%	\$ 90,493	9.5%	\$ 100,656	10.1%
Owner's Salary at FMV	\$ 61,800	8.5%	\$ 63,654	8.0%	\$ 65,564	7.5%	\$ 67,531	7.1%	\$ 69,556	7.0%
SDE	\$ 88,788	12.2%	\$ 111,399	14.0%	\$ 136,683	15.6%	\$ 158,024	16.7%	\$ 170,212	17.1%

VI. MPSP ASSUMPTIONS AND ADDITIONAL CONSIDERED FACTORS

Weighted Consideration of Historical Earnings

	<u>FYE 2020</u>	<u>FYE 2021</u>	<u>FYE 2022</u>	<u>FYE 2023</u>	<u>FYE 2024</u>	<u>Projected 2025</u>	<u>Weighted</u>
Revenues	\$ -	\$ 472,493	\$ 595,787	\$ 667,339	\$ 684,445	\$ 725,512	\$ 650,310
EBITDA	\$ -	\$ 17,287	\$ 81,035	\$ 72,549	\$ 31,513	\$ 26,988	\$ 47,297
SDE	\$ -	\$ 62,287	\$ 131,035	\$ 127,549	\$ 91,513	\$ 88,788	\$ 103,157
Weight	0%	10%	20%	20%	30%	20%	100%

Buyer Expectations and Requirements

Expected Buyer **Required Return on Invested Capital:**

45% on SDE

35% on EBITDA or EBIT

Capital Expenditures
Required: **Yes**

1% of **REV**

Working Capital Required (Based on **FYE** using the **Manual**):

\$30,000

Depreciation and Amortization

Depreciation of Fixed Assets:

Declining balance of **Declining Balance of 20% per**
year annually.

Amortization of Goodwill:

N/A annually from a basis.

Taxes

PST	13.0%
<= \$300000 Combined Income Tax	15.5%
<= \$500000 Combined Income Tax	15.5%
> \$500000 Combined Income Tax	26.5%

Borrowing Capacity of Assets

Note: The borrowing capacity reflected herein is for calculation purposes only and may not necessarily reflect that which a financial institution may consider.

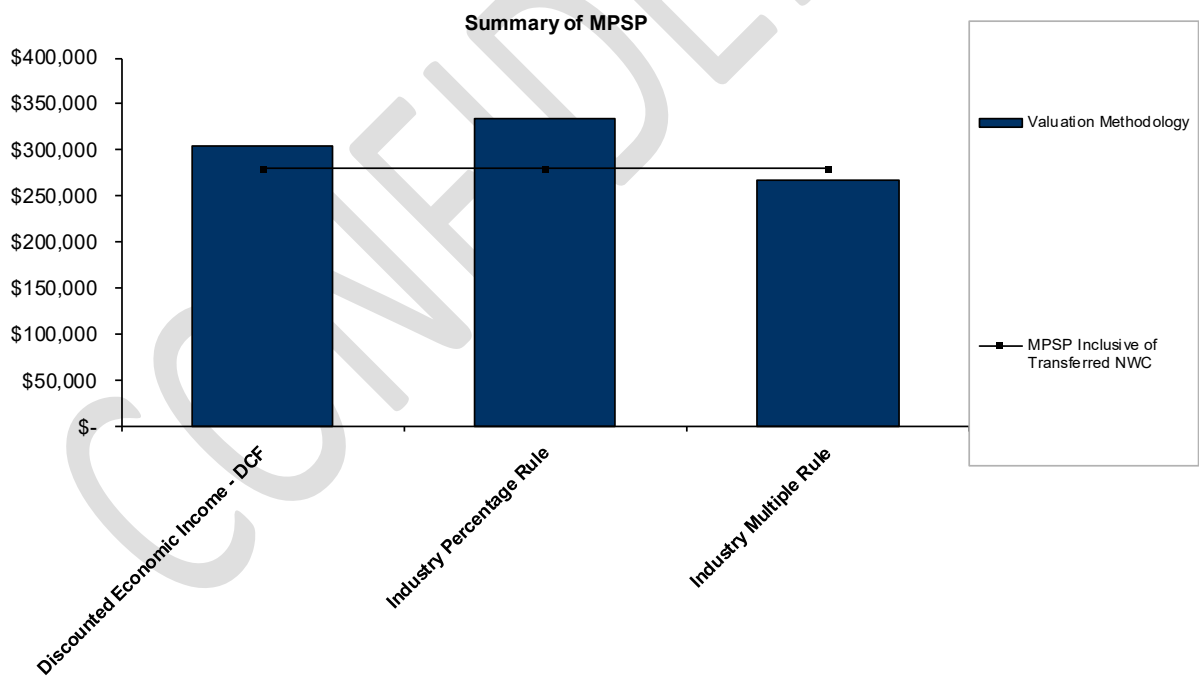
	<u>Asset Value</u>	<u>Borrowing Capacity</u>	<u>Borrowing Capacity</u>
Accounts Receivable	\$ 68,686	50.0%	\$ 34,343
Inventory	\$ 16,133	0.0%	\$ -
FF&E	\$ 148,935	50.0%	\$ 74,468
Other Current Assets	\$ -	0.0%	\$ -

VII. VALUATION

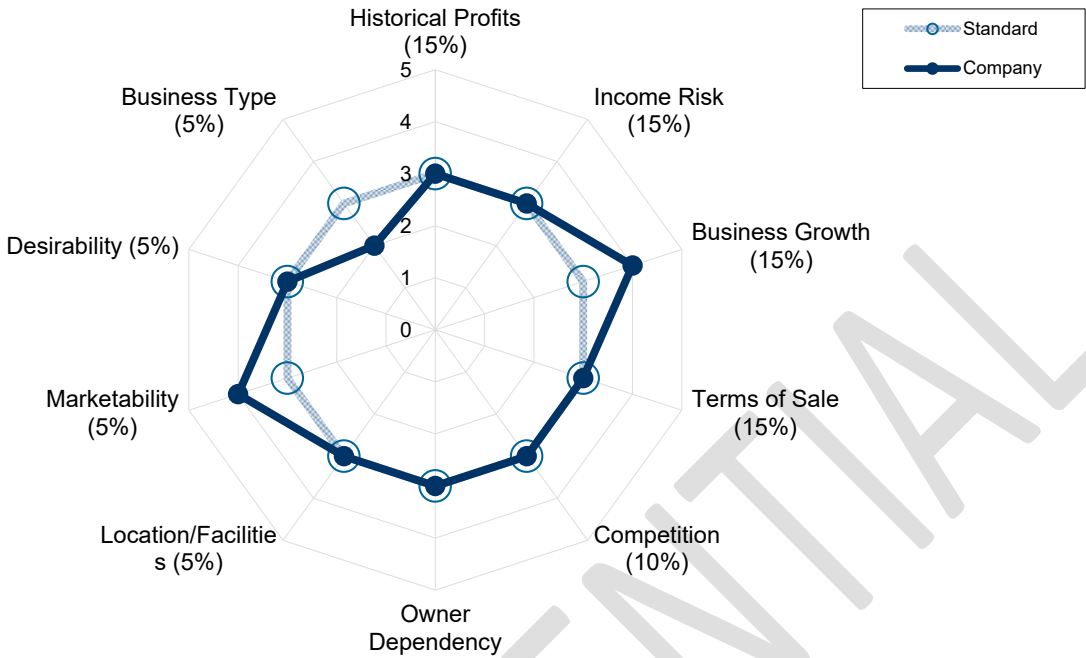
Considering the long existence of the business, stable and steady growth pattern, earnings and owner’s goodwill component, as well as the future growth potential, the appraiser has objectively chosen the following methodologies and related weight factors as those best suited for this business, at this time, and in this market as those best representing the MPSP based on the Broker’s knowledge of the business, the market and, considering the potential buyer profile assumptions as at the time of this report:

Summary of Methodologies Used

Income Approach	Value	Weights
Discounted Economic Income - DCF	\$ 304,000	0%
Market Approach		
Industry Percentage Rule	\$ 334,000	40%
Industry Multiple Rule	\$ 267,000	60%



Assessment of Key Value Drivers



VIII. DETERMINATION OF THE MPSP

Income Approach (0 of 6 methods used)

This being the principle of future benefits approach whereby “economic value reflects anticipated future benefits”. In this approach, we used the Multiple of EBITDA, Capitalized Economic Income and Iterative Discounted Cash Flow (IDCF)/ Discounted Economic Income methods, where a simplified future cash flow was used for the former X (two) methods and a detailed 5-year pro forma was used for the latter. We have also considered industry specific formulas as well as general rules of thumb and multipliers.

Iterative Discounted Cash Flow / Discounted Economic Income	Not Used
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Market Approach (2 of 4 methods used)

Methodologies under the Market Approach are based on the principle of substitution where a buyer will pay no more than that which would have to be paid to purchase an equally desirable substitute. In this approach, we have assessed comparables where available of similar industries and businesses with recognition for variances in such areas as markets, trends, niches etc., multiples of earnings based on industry specific standards and adjusted for relevance, rules of thumb also based on industry, and market and historical trends.

Industry Percentage Rule	\$	334,000
Industry Multiple Rule	\$	267,000

Cost Approach (0 of 2 methods used)

Like the Market Approach, methodologies under Cost Approach are based on the principle of substitution where a buyer will pay no more than that which would have to be paid to purchase an equally desirable substitute. In these methodologies, we equate the book value to the market value of a business. The asset value is determined by techniques such as adjusted net asset value, liquidation value, book value, and net book value.

IX. THE MOST PROBABLE SELLING PRICE

The enclosed report and supporting data offer our opinion of the Most Probable Selling price which may or may not have any relationship with the asking price of a business or the ultimate selling price of **Ontario Business**

The Broker's opinion takes into account the tangible and intangible assets including business value or goodwill and, has been based on information provided by the owners of **Ontario Business** which is assumed to be a going concern with no known defects.

Based on **Ontario Business** being sold as a Share Sale, whereby the shares of the corporation are sold, it is our opinion that the Most Probable Selling Price is:

MPSP Breakdown	
Working Capital	\$ 16,000
Furniture, Fixtures, and Equipment	\$ 148,935
Goodwill	\$ 115,065
MPSP Inclusive of Actual Net Working Capital Transferred	\$ 280,000
Typical Assets Included: Fixed Assets, Goodwill, Actual WC Transferred	

This Most Probable Selling Price would be adjusted to reflect the Current Account Balance being transferred at closing as of the sale date and as negotiated between the buyer and the seller.

X. APPENDIX 1 – EXPLANATION OF VALUATION METHODS

Methods Used under the Income Approach

1. Assets + SDE

In this approach, the business is valued to be worth the market value of the assets plus a goodwill element equal to one times the Normalized Cash Flow (SDE) generated by the business.

It is a very conservative valuation approach and is more common with very small businesses with few employees – in particular one where the owner takes on a “hands-on” approach to working “in the business”.

2. Multiple of SDE

Under the Multiple of SDE approach, the business value does not reflect what one might think the assets are worth, but rather, the focus is on what amount of Normalized Cash Flow (SDE) would be available to the new owner after the purchase. The buyers expected return on investment required based on risk factors is considered.

A suitable value is derived as “the maximum amount a buyer would pay for, given the Cash Flow (SDE) that the business would produce and at the level of risk perceived by the buyer”. Inventory and Capital Assets are then added on to the number produced, as deemed necessary by the evaluator if, the value of the assets required for the operation of the business has not already been captured previously.

This valuation approach is also used primarily where the owner takes on a “Hands on” approach to working “in the business” unless the owners salary has been normalized to Fair Market Salary.

3. Multiple of EBITDA

The Multiple of EBITDA method focuses on what kind of Normalized Earnings Before Interest, Taxes, Depreciation and Amortization would be available to the new owner after the purchase, instead of what the assets are worth. The buyers expected return on investment required based on risk factors is considered. The owner’s salaries if and where applicable, would be normalized to Fair Market Salary.

A suitable value is derived as “the maximum amount a buyer would pay for, given the Cash Flow (EBITDA) that the business would produce and, at the level of risk perceived by the buyer”. Inventory and Capital Assets are then added on to the number produced, as deemed necessary by the evaluator, if the value of the assets required for the operation of the business has not already been captured previously.

This valuation approach is used where the assumed new owner takes on a “hands-off” approach to working “on the business” or in the case where the Buyer is assumed to be a Financial, Strategic or Synergistic type.

4. Multiple of EBIT

Similar to the previous methods, the Multiple of EBIT valuation method is used in larger enterprise values where the Amortization or Depreciation may be considered operational. This methodology hence focuses on what kind of Normalized Earnings Before Interest and Taxes only, would be available to the new owner after the purchase. Again, the buyers expected return on investment required based on risk factors is considered.

This method is suitable for larger businesses where the buyer is likely to be a financial, strategic or synergistic buyer. Such corporate purchasers may often adopt a debt free analysis and will also ensure that where the current management is in place, the analysis considers compensation at Fair Market rates and, where the Seller is the manager, that the analysis considers a Fair Market Replacement Salary.

5. Capitalized Economic Income

The Capitalized Economic Income method assumes that adjusted historical earnings are a best possible representation of future earnings and focuses on the Normalized Cash Flow, either EBITDA or SDE as appropriate, net of debt service, which would be available to a new owner after purchase. This method is used more when valuing a small business as well as professional practices.

The buyer’s required return based on considering risk factors, is then used to determine the business value by converting such cash flows receivable in the future to their present value through capitalizing the economic income measure by the required rate of Return On Invested Capital (ROIC).

6. Iterative Discounted Cash Flow (IDCF) / Discounted Economic Income (DCF)

The IDCF/DCF approach is a thorough methodology that discounts future cash flows available to a new owner after the purchase, to its present value. The Enterprise Value considers the Buyers expected Return on Invested Capital which in turn considers risk factors. The Enterprise Value is then adjusted to consider the difference in net assets between the balance sheet likely to be transferred to a potential buyer at time of closing, and the operating balance sheet deemed necessary to run the business.

This comprehensive method takes into account many factors including a five year pro forma, long-term sustainable business growth in determining the cash flow from operations available to a new owner, the likely earnings, if the new owner exits the business after 5 years, the sale type, assumptions in the capital expenditures required to sustain the business growth, acquisition and selling expenses, financing, debt service, amortization and depreciation schedules, income taxes and more.

Future income is the centerpiece in this method and in determining the Enterprise Value of the business, a circular logic problem arises where the future cash flow to the buyer is affected by the purchase price, which is in turn affected by the future cash flow. The IDCF method uses repeated calculations routines in a loop to find an optimal value representing the maximum amount that a buyer would pay for the final free cash flow available to the owner after all factors and assumptions have been considered, while satisfying the required rate of return on the capital invested.

The IDCF method is typically more practical where Normalized EBITDA levels are higher than \$100K. Compared to many other simpler methodologies, this is a very realistic method of valuation since it considers important reality factors such as required financing, debt service, etc that affects future cash flow which affects business value.

Methods Used under the Market Approach

1. Industry Percentage Rule

The Industry Percentage Rule is a simple Market method that values the business based on a percentage of earnings that is comparable and or historical in that industry, with such data typically obtained from comparative transaction databases.

Inventory and Capital Assets are added to the number produced as deemed necessary by the assessor through assessment of market comparable data; if the value of the assets required to run the business were not previously captured in calculations.

Being a comparative transaction method, this is a method that is often considered in those valuations where the enterprise being assessed does not fall outside of the available comparable data and may not be available with specific or niche markets or if there is lack of available data.

2. Industry Multiple Rule

This methodology is based on a multiple of earnings, using either Revenues, EBIT, EBITDA or SDE as deemed appropriate by the appraiser, is derived from industry specific comparative transaction databases. The industry multiple may be adjusted by the assessor in order to compensate for the business' over-performance or under-performance characteristics compared to industry benchmarks available.

Inventory and Capital Assets are added to the number produced as deemed necessary by the assessor through assessment of market comparable data; if the value of the assets required to run the business were not previously captured in calculations.

The Industry Multiple Rule, also a comparative transaction method, is often considered in those valuations where the enterprise being assessed does not fall outside of the available comparable data and or, unless its value is adjusted up or down, based on comparable benchmarks.

3. Direct Market Data

The Direct Market Data method is most useful in small business valuations where typically there are only one or two employees or a single owner operator. It uses comparative transactional data and excludes “outliers” data. SDE is the base used typically in this methodology though EBITDA or EBIT or Revenue could also be used depending on available data. Risk factors and reliability of data is also considered.

4. Guideline Methods

This set of two potential methods typically compare values of publicly traded companies (The Guide line public company method) as well as M&A deals (the guideline transaction method) for which there is adequate comparative transaction data with the subject company. The publicly traded method is considered typically in larger enterprises (in excess of \$20M in enterprise value) while the Guide Line Transaction method could be used for Small to Mid Size Enterprises but either method does require extensive analytical detail. This methodology is also used in specific niche valuations.

Methods Used under the Cost Approach

1. Asset Accumulation / Cost to Create

Based on the principle of Substitution, this methodology is most useful in valuations where the value of the assets exceeds the value of the goodwill or, where the earnings of the business are not sufficient to offset the risk of staying in business. Under the Asset Accumulation or Cost to Create method, we attempt to equate the adjusted Net Book Value to the Fair Market Value of the assets. The focus is on the cost for a buyer to recreate the business, namely the fixed assets, the inventory and perhaps the working capital, without consideration for earnings or goodwill in order to calculate the Most Probable Selling Price.

2. Capitalized Excess Earnings Method

This method is best used when the goodwill is large compared to the tangible assets. This value is then added to the value of the tangible assets. It therefore calculates the Market Value of the sum of the tangible assets and the intangible assets of the business. The normalized SDE or EBITDA is used as a base of earnings.

A reasonable rate of return is considered for the investment in the tangible assets to recreate what a prospective buyer could earn if they were to invest the equivalent amount into an alternate investment instrument in the marketplace. The borrowing cost (Estimated Cost of Capital) and equity cost (CAP rate) is weighted by the borrowing capacity and the equity rate of the total assets to determine such a weighted required rate of return on tangible assets. Enterprise Value is then calculated by capitalizing the tangible assets by the previously determined required rate of return and, by capitalizing the intangible assets by a required return on invested capital.

3. Equity Value Method

Equity is a value that is most often determined using the income approach. Since we do not sell equity but rather we sell tangible assets and the goodwill being transferred, this method attempts

to convert equity into a price that can be related to assets and goodwill. Some factors considered in this methodology are: present value, forecasting, factors affecting value, public and private markets, cap rates and factors, discounts rates, growth rates, risk factors and more.

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XI. APPENDIX 2 – GLOSSARY OF TERMS

Asset Sale [see Stock/Share Sale]

The Buyer acquires all or part of the company's assets; while the Seller retains the ownership of the company entity (Shares).

Capital Expenditure (CAPEX)

Funds used by a company to acquire or upgrade physical assets such as property, plant or equipment. This outlay is made by companies to maintain or increase the scope of their operations.

Cash Flow from Operation (CFO)

CFO represents the cash generated from the operations of a company. Cash flow is also often used to identify the company's earnings.

Earnings

Not to be confused with revenue. Earnings are synonymous with the profit of the business.

EBITDA [see EBIT, SDE]

= *Earnings before Interest, Taxes, Depreciation and Amortization*. EBITDA is an indicator of a company's financial performance. Could be normalized or not. When normalized it is net of any discretionary, non-recurring and non operational expenses or income. In essence, it is the Net profit of the business plus interest on long term debt plus taxes plus depreciation and amortization.

EBIT [see EBITDA, SDE]

= *Earnings before Interest, and Taxes*. It is the Net profit of the business plus interest on long term debt plus taxes plus depreciation and amortization.

Fair Market Value (FMV) [see Net Book Value]

The price at which the business and/or property would change hands between a willing buyer and a willing seller, neither being under any compulsion to buy or to sell and both having reasonable knowledge of the relevant facts.

Free Cash Flow (FCF) [see Free Cash Flow to Equity]

FCF represents the cash that a company is able to generate after meeting its reinvestment needs in the form of working capital and capital expenditures. Also called free cash flow to firm (FCFF), it is the cash available to be distributed to all capital providers of the company.

Free Cash Flow to Equity (FCFE) [see Free Cash Flow]

FCFE represents the cash available to be distributed to equity holders (owners) of the company.

Goodwill

The collection of intangible assets represented in dollars by the difference between the total purchase price for the business and the net value of the tangible assets being purchased.

Gross Margin

A company's total sales revenue minus cost of goods sold, divided by the total sales revenue, expressed as a percentage. Gross margin is an important measure of a company's profitability.

NAICS Code

North American Industry Classification System code.

Net Book Value (NBV) [see Fair Market Value]

NBV is the value at which an asset is carried on a balance sheet. It is the historical cost of an asset minus accumulated depreciation.

Normalized Financial Statements

Normalized financial statements are financial statements that have been adjusted to eliminate non-recurring and non-business related items.

Pro Forma

A method of calculating financial results emphasizing projected figures.

Regression Analysis

In general, regression analysis is a measure of the relationship between two variables (for example sales and costs) and is used to find the line that best represents the given data in order to get an indication of the extent to which one can predict some variables by knowing others. This is at times used in calculating forward looking projections.

SDE [see EBITDA, EBIT]

= *Seller's Discretionary Earnings*. SDE is a commonly used valuation multiple for small businesses where the buyer would most likely be an individual or main street buyer, who would take on a hands-on approach to working in the business. It is typically EBITDA plus one owner's salary adjusted to FMV.

SIC Code

Standard Industrial Classification code.

Stock/Share Sale [see Asset Sale]

The Buyer acquires all or part of the company's stock/shares and the ownership of the company or specific shares/stocks is/are transferred to the Buyer. Since the assets of the business are owned by the company and the company is an independent entity and its ownership is represented by the shares/stock, purchasing the shares includes the assets and liabilities of the company unless otherwise specifically excluded.

Working Capital

Also called net working capital, though there are a number of methods for calculating this, it is traditionally calculated as total current assets minus total current liabilities, excluding interest-bearing debt. Investment in Working Capital in the form of inventory and accounts receivable is necessary to maintain the company's daily operations. Working Capital is a measure of both a company's efficiency and its short-term financial health.